

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL
(EUROPE) LIMITED., *Respondents and Third-Party*
Complainants

DOCKET NO. 24-17

v.

SAMSUNG ELECTRONICS COMPANY, LTD., *Third-Party*
Respondent.

Served: May 21, 2026

ORDER OF: Richard AMBROW, *Administrative Law Judge.*

ORDER DENYING COMPLAINANT’S MOTION FOR SANCTIONS

I. OVERVIEW

On April 24, 2026, Complainant Samsung Electronics America, Inc. (“SEA”) filed Complainant’s Motion for Sanctions (“MFS”). In brief, SEA argues that Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL” or “Respondents”) failed to comply with an order I entered on February 20, 2026. The February 20, 2026, order will be discussed in greater length, but, in short, it required OOCL to produce to SEA one or more declarations regarding, among other things, OOCL’s document collection and production efforts in this case. SEA argues that OOCL’s declarations were deficient. Further, SEA argues that those deficiencies are part of a pattern of obstinate misbehavior by OOCL, which should result in a default judgment against OOCL. In the alternative, SEA argues I should compel discovery and impose appropriate sanctions.

On May 11, 2026, OOCL filed Respondents’ Response to Complainant’s Motion for Sanctions (“MFS Opp.”).

On May 18, 2026, SEA filed Complainant’s Reply in Support of Its Motion for Sanctions (“MFS Reply”).

As discussed below, SEA’s MFS is **DENIED** because I find that OOCL substantially complied with the requirements of the February 20, 2026, order. In any event, I find that a

default judgment is not appropriate in this situation. As for SEA's alternative request to compel discovery, there is no basis to compel discovery based on the MFS.

II. RELEVANT FACTS

1. Complainant filed a Verified Amended Complaint ("VAC") on December 2, 2025, seeking reparations for "excessive and unlawful OOCL demurrage, detention and associated charges," as well as related injuries. (VAC, at 19, ¶ 77).
2. Due to various procedural issues not relevant presently, discovery commenced on July 1, 2025. (Scheduling Order, at 1). Among other things, the Scheduling Order required the parties to file monthly joint status reports beginning on August 1, 2025, through the end of discovery. (Scheduling Order, at 2).
3. In the Joint Status Report filed August 1, 2025 ("JSR2"), OOCL represented that: "In anticipation of the discovery it would receive, OOCL proactively arranged for the transfer of more than 3.1 TB of data to an eDiscovery server space where it can be downloaded into an eDiscovery software platform, analyzed for relevance and ultimately reviewed by counsel for responsiveness prior to production." (JSR2, at 6). OOCL continued, stating: "The data consists of materials from twenty OOCL custodians, in addition to materials that were obtained through manual searches by OOCL. OOCL contemplates that no additional custodians remain to be searched at this time, however additional manual searches may be necessary to respond" to specific discovery requests by SEA. (*Id.*).
4. The Amended Scheduling Order, issued August 5, 2025, originally set the document production deadline as September 30, 2025, and the deadline to complete fact depositions as October 31, 2025. (*See generally* Amended Scheduling Order).
5. In Joint Status Report 3 (September 2025) ("JSR3"), filed on September 2, 2025, OOCL stated that it produced 14,996 pages of responsive documents, would continue to produce documents on a rolling basis, and anticipated completion by September 30, 2025. (JSR3, at 4).
6. On September 30, 2025, SEA filed Complainant's Second Motion for Enlargement of Time ("MFE"), seeking to extend discovery deadlines, in part, to produce a large volume of documents. (MFE, at 4-5). On October 7, 2025,¹ OOCL filed Respondents' Partial Opposition to Complainant's Second Motion for Enlargement of Time ("MFE Opp."), arguing, in part, that OOCL timely produced all its documents, and thus SEA should have also. (MFE Opp., at 4). On November 17, 2025, I issued an Order Granting in Part Complainant's Second Motion for Enlargement of Time and Ordering Joint Status Report (the "November 17 Order"). The November 17 Order indicated that discovery deadlines

¹ SEA's MFE and OOCL's MFE Opp, were not docketed until November 13, 2025, due to a lapse in appropriations from October 1, 2025, through November 12, 2025.

needed to be amended but ordered that the parties file a joint status report on December 1, 2025, with a proposed amended schedule. (*See generally* November 17 Order).

7. In Joint Status Report 4 (December 2025) (“JSR4”), filed on December 1, 2025, OOCL represented that it completed its production of documents on September 26, 2025, almost two months before the bulk of SEA’s documents were produced. (JSR4, at 7-9). The parties asked to extend the document production deadline until January 5, 2026, to establish a motion to compel deadline of January 23, 2026, and to extend fact deposition cut-off until March 27, 2026. (*Id.*, at 11). I approved this proposed schedule via the Second Amended Scheduling Order of December 3, 2025. (*See* Second Amended Scheduling Order).
8. In Joint Status Report 5 (January 2026) (“JSR5”), filed on January 5, 2026, OOCL represented that it made supplemental productions of documents on December 2, 2025, December 5, 2025, December 22, 2025, and December 30, 2025. (JSR5, at 8-9). OOCL stated that it completed its production of documents by the amended January 5, 2026, deadline. (*Id.*, at 8).
9. On January 20, 2026, OOCL filed Respondents’ Motion to Compel (“RMTC”). In the RMTC, OOCL argued that SEA’s response to two interrogatories, namely Interrogatory Nos. 10 and 11, were deficient. In short, in Interrogatory No. 10, OOCL asked SEA to describe specifically, for each shipment at issue “the cause of all delays relating to the retrieval and return of the containers which resulted in the” charges at issue. Similarly, in Interrogatory No. 11, OOCL asked SEA to describe specifically “how OOCL caused or contributed to the underlying transportation delay” that led to the charges at issue. (RMTC, at 3).
10. On January 23, 2026, SEA filed SEA’s Motion to Compel (“CMTC”). In the CMTC, SEA argued that several of OOCL’s Interrogatory answers, as well as its responses to discovery requests, were deficient. Of most relevance presently, SEA generally argued that OOCL apparently failed to collect and produce relevant documents. For example, SEA’s Request for Production No. 4 asked OOCL to produce documents “reflecting communications pertaining” to the “demurrage and detention charges” at issue. SEA argued that OOCL’s response to RFP 4 was deficient because “OOCL did not reliably collect, search, and produce communication from key OOCL custodians and mailboxes, did not consistently produce key email chains, and did not maintain adequate processing and quality control to ensure that documents were produced in complete and usable form.” (SEA MTC, App’x III-3).
11. SEA filed SEA’s Opposition to Respondents’ Motion to Compel (“RMTC Opp.”) on January 26, 2026. In general, SEA argued that it has complied with OOCL’s overly broad discovery requests. As for Interrogatory No. 11, SEA asserted that responsive information is in OOCL’s possession. (RMTC Opp., at 5). Regarding Interrogatory No. 10, SEA argued that while it has no pre-existing compilation of charges, it produced relevant business records and provided tags. (RMTC Opp., at 9-10).

12. In Joint Status Report 6 (February 2026) (“JSR6”), filed on February 4, 2026, OOCL represented that it made a supplement document production on January 9, 2026. (*See* JSR6, at 5-6).
13. On February 5, 2026, OOCL filed Respondent’s Response to SEA’s Motion to Compel Discovery (“CMTC Opp.”). Most relevant here are OOCL’s arguments regarding document productions. OOCL argued that seemingly responsive documents, such as arrival notices or long-dwell letters, were not produced as they were already in SEA’s possession, they were not relevant to the disposition of the claims at issue, and requiring their production would be unduly burdensome. (CMTC Opp., App’x III-2-3). Further, OOCL maintained that it produced all relevant, non-privileged communications it collected from all custodians identified in its initial disclosures, and that most of the relevant documents in this case should be expected to come from its offices in the United States. (CMTC Opp., App’x III-2-3).
14. On February 13, 2026, I issued a Second Order Setting Status Conference (the “February 13 Order”), which ordered the parties to attend a status conference on February 20, 2026, to discuss the respective motions to compel. (*See generally* February 13 Order).
15. On February 20, 2026, the parties attended a status conference. Following the status conference, I issued an Order Following Second Status Conference (the “February 20 Order”). In the February 20 Order, I denied both the CMTC and the RMTC without prejudice because both motions to compel raised issues that were apparently still being resolved by the parties. I also provided guidance to the parties regarding their discovery disputes. In relevant part to the present motion, I wrote:
 - 8) OOCL represents that it completed its document production. (*See* Joint Status Report 5 (January 2026), at 8). This does not appear to be accurate. For example, OOCL admits that it did not produce numerous documents directly responsive to SEA’s Request for Production 3, namely, arrival notices, arguing that SEA already was in possession of arrival notices, that arrival notices are not relevant, and that it would be unduly burdensome to search for and produce arrival notices. (*See* Respondent’s Response to SEA’s Motion to Compel Discovery, at App’x III -1-3). Or else, OOCL admits that relevant documents were [] located in the electronic records of custodians not searched. (*Id.*, at App’x I – 3-5). OOCL admits that one document was held by a custodian whose records were searched, but the document was not found. (*Id.*). Thus, it appears that OOCL’s searches and productions have been deficient to date. OOCL will be required to describe the searches it conducted as instructed in the ORDER below. Further, SEA and OOCL are to negotiate regarding OOCL’s supplemental searches and productions . . .

The February 20 Order also required OOCL:

. . . to produce to SEA a sworn declaration no later than **March 13, 2026**, from one (or more) knowledgeable witness(es) describing: a) the process by

which it performed document searches in response to SEA's discovery requests, including the date ranges used, the custodians or systems searched, and search terms used; b) identification of all other potentially relevant custodians or systems, including all persons in, and systems used by, OOCL's North American Customer Service, Demurrage and Detention during the January 1, 2020-December 31, 2022, timeframe; and c) the process by which OOCL charged demurrage, detention and other fees during the January 1, 2020-December 31, 2022, timeframe.

(*See generally* February 20 Order).

16. In Joint Status Report 7 (March 2026) and Joint Motion Amending Procedural Schedule ("JSR7"), filed on March 2, 2026, OOCL represented that it made a supplement document production on February 19, 2026, and collected several million additional documents from previously unidentified custodians or shared mailboxes. (JSR 7, at 4-5). OOCL also stated that it provided search terms it used, and requested SEA to supplement the terms. (*Id.*, at 5). The parties proposed extending the document production deadline until April 30, 2026. (*Id.*, at 8). I entered an Order Granting Joint Motion to Extend Deadlines and Third Amended Scheduling Order on March 23, 2026 (the "March 23 Order"), approving of the April 30 document production deadline. (*See generally* March 23 Order).
17. On March 13, 2026, OOCL produced three sworn declarations to SEA in response to the February 20 Order. (*See* Declaration of Peter F. Black in Support of Claimant's Motion for Sanctions ("Black Decl."), at Ex. A). I describe them below in turn.
18. OOCL's first declaration is the Declaration of Kenneth A. Carruth, III ("Carruth Decl."), who is an employee of OOCL's e-discovery vendor. Carruth describes two collections. First, there is an "Original Data" collection, which was 3.5 terabytes of information that, to the best of his knowledge, OOCL collected from email servers, an enterprise-wide management system ("IRIS-4"), and relevant departmental Microsoft 365 Sharepoint files, which came from 23 custodians. The e-discovery vendor de-duplicated the Original Data and ran search terms that resulted in eight productions from August 25, 2025, through February 19, 2026. On February 23, 2026, the e-discovery vendor received another 91 gigabytes of data from OOCL, which Mr. Carruth calls the "Additional Data." On March 3, 2026, Mr. Carruth reports finding an "anomaly" with the data from two custodians; the anomaly prevented searches from being performed. But the anomaly was corrected by rebuilding the searchable index, and searches of the affected data are being conducted. Finally, the e-discovery vendor performed a search using the search terms SEA provided via letter dated March 10, 2026. (*See generally* Carruth Decl.).
19. The second declaration is the Declaration of Gavin Murdoch ("Murdoch Decl."), who is OOCL (USA) Inc.'s director of compliance. He states that OOCL (USA) Inc. is an agent for the two named Respondent entities. Murdoch states that he directed collections from places likely to have responsive information, including from email servers, the IRIS-4 system, and Sharepoint files. He states that he directed OOCL employees to collect tariff rules, bills of lading on which SEA was a consignee, any invoices to SEA (other than for

freight charges), service contracts with SEA, all data from the email of 16 custodians, demurrage and detention management guidelines, SEA customer-nominated trucker (“CNT”) emails, communications and agreements, Maher terminal invoices, arrival notices, and communications from 6 additional custodians. The Murdoch Declaration provides the date ranges of materials collected. This material was transmitted to Mr. Carruth, although the Murdoch Declaration does not specify when the collections were transmitted to Mr. Carruth. Mr. Murdoch discusses an “additional document collection” of 91 GB of material from 6 additional custodians (though some of them overlapped with custodians identified previously) on or around February 20, 2026, which was provided to the e-discovery vendor. The Murdoch Declaration provides the date ranges of materials collected as part of the additional document collection. In addition, the Murdoch Declaration indicates that all OOCL systems related to demurrage and detention billing, including OOCL systems used by the North American Customer Service, Demurrage and Detention office, and records from all custodians in the same department, were searched for Samsung-related claims. The Murdoch Declaration provides the date ranges of the demurrage and detention department collection as well. (*See generally* Murdoch Decl.).

20. The third declaration is the Declaration of Tracy Sha (“Sha Decl.”), who is employed as Director, Documentation and Invoicing by OOCL (USA), Inc. She states that OOCL long had two email addresses for demurrage and detention disputes, one specifically for the Los Angeles/Long Beach (“LALB”) complex, and one for all other ports in the United States. Ms. Sha’s declaration also describes the process by which demurrage and detention is charged. (*See generally* Sha Decl.).
21. The parties filed Joint Status Report 9 (May 2026) on May 1, 2026 (“JSR9”). In relevant part, OOCL represented that it proposed search terms to SEA on February 23, 2026, that “the Parties discussed and agreed upon sixty-six (66) search terms to be applied to OOCL’s collected documents[,]” and that OOCL conducted searches using the search terms. (JSR9, at 6-7, and n.1). Attached as Exhibit 1 to JSR9 is list of search terms OOCL represents that it used in conducting document searches. (JSR9, at Ex. 1).
22. On May 4, 2026, I issued an Order Clarifying Briefing Deadlines and Setting Status Conference (the “May 4 Order”). In relevant part, the May 4 Order required the parties to appear for a status conference on May 19, 2026, to discuss remaining document discovery issues.
23. The record also contains a supplemental declaration by Mr. Carruth of May 11, 2026. It provided additional details about the search that lead to OOCL’s first production, as well as added exhibits about additional searches.² (*See* Declaration of Kenneth A. Carruth, III, signed May 11, 2026, attached to MFS Opp. (the “Supp. Carruth Decl.”)).
24. On May 19, 2026, I conducted a status conference that was attended by counsel for SEA and OOCL. I informed the parties that I would be denying the MFS. I also instructed the

² I note that the Supplemental Carruth Declaration represents that a further search of data affected by the anomaly was still be conducted as of May 11, 2026. (Supp. Carruth Decl., ¶ 17).

parties to continue to work together to resolve remaining document production issues, and that I would entertain a necessary motion to compel and/or amend the case deadlines.

III. ANALYSIS

A. Default Judgment Standard

The Shipping Act provides that a default judgment can be entered if the Commission is unable to issue a decision because a party causes undue delay.

If, within the period for final decision under subsection (c), the Commission determines that it is unable to issue a final decision because of undue delay caused by a party to the proceeding, the Commission may impose sanctions, including issuing a decision adverse to the delaying party.

(46 C.F.R. § 41302(d)).

Consistent with the Shipping Act, the Commission's Rules provide as follows:

(b) Failure to comply with order compelling disclosures or discovery. If a party or a party's officer or authorized representative fails or refuses to obey an order requiring it to make disclosures or to respond to discovery requests, the presiding officer upon his or her own initiative or upon motion of a party may make such orders in regard to the failure or refusal as are just. A motion must include a certification that the moving party has conferred in good faith or attempted to confer with the disobedient party in an effort to obtain compliance without the necessity of a motion. An order of the presiding officer may:

- (1) Direct that the matters included in the order or any other designated facts must be taken to be established for the purposes of the action as the party making the motion claims;
- (2) Prohibit the disobedient party from supporting or opposing designated claims or defenses, or from introducing designated matters in evidence; or
- (3) Strike pleadings in whole or in part; staying further proceedings until the order is obeyed; or dismissing the action or proceeding or any party thereto, or rendering a decision by default against the disobedient party.

(46 C.F.R. § 502.150(b)).

The United States Court of Appeals for the District of Columbia has articulated three factors to consider when determining whether a default judgment is appropriate:

- (1) the prejudice to the other party, which must present its case without the ordered discovery; (2) the burden on the tribunal, which must spend its resources addressing delays caused by noncompliance with its orders; and (3) the need to

deter bad faith conduct in the future. Any one of these factors, alone, may justify a default judgment, but the judgment “must be based on findings supported by the record.”

(*MSC Mediterranean Shipping Co S.A. v. Fed. Mar. Comm’n*, 141 F.4th 222, 241 (D.C. Cir. 2025) (citing *Webb v. District of Columbia*, 146 F.3d 964, 971-75 (D.C. Cir. 1998))).

In *MSC*, the D.C. Circuit affirmed the Commission’s order entering a default judgment against an ocean carrier that repeatedly defied discovery orders. In that case, the carrier, who is based in Switzerland, did not challenge the Commission’s jurisdiction to hear claims arising out of an alleged breach of a service contract until the complainant filed a motion to compel. (*MSC*, 141 F.4th at 228-29). The ALJ rejected the carrier’s jurisdictional challenges in compelling discovery. (*Id.*, at 229). The ALJ also rejected a motion to dismiss by the carrier. (*Id.*). The parties then apprised the ALJ of a Swiss law that required approval by a Swiss court before a Swiss company could produce documents. (*Id.*). Although the Swiss court that initially reviewed the matter determined that the carrier’s documents could not be produced, there was no evidence in the record that the carrier would face any substantial risk of criminal sanctions should it violate the Swiss law and produce documents. (*Id.*, at 229-30). The carrier moved for an extension to produce documents, but the ALJ denied the motion. (*Id.*). The ALJ then ordered that the carrier produce the documents or show cause why default judgment should not be entered. (*Id.*). The carrier refused to produce additional information, arguing it already produced relevant information, and that there was no jurisdiction. (*Id.*). At that point, the ALJ issued a default judgment. (*Id.*).

Ultimately, the D.C. Circuit affirmed the default judgment. It found that a default judgment was justified under all three factors of the *Webb* test. First, the carrier’s refusal to produce documents stalled the litigation, burdened the Commission’s docket and undermined the Commission’s authority. (*MSC*, 141 F.4th at 242). Second, the carrier’s refusals also burdened the tribunal by causing the Commission to expend resources addressing the carrier’s noncompliance. (*Id.*, at 242-43). And third, because the carrier was calling the Commission’s authority into question, a default judgment was appropriate to deter similar stonewalling in the future, and lesser sanctions were inadequate to address the harm. (*Id.*, at 243).

B. Application of the Default Judgment Standard

SEA argues that the facts in this case meet the standard for a default judgment. First, SEA has been prejudiced by OOCL’s repeated misconduct that caused delay in this proceeding, including OOCL’s filing of a frivolous counterclaim and amended counterclaim, OOCL’s repeated misrepresentation that it completed its document production obligations, and by OOCL’s failure to comply with the February 20 Order. (MFS, at 9-10). Second, this allegedly repeated misconduct caused the Commission and its ALJs to expend time and effort adjudicating the disputes caused by OOCL’s misbehavior. (MFS, at 10). And third, at this point, in light of OOCL’s continuous disregard of its responsibilities, which caused numerous delays and consumed significant resources, default is the only appropriate remedy. (MFS, at 10).

As discussed below, I find that OOCL substantially complied with the requirements of the February 20 Order.

The February 20 Order first ordered OOCL to produce declarations by knowledgeable witnesses. (February 20 Order, at 3). SEA asserts that none of the three declarants is a proper representative of the named Respondents. (MFS, at 8-9). The February 20 Order, however, does not require a representative of either Respondent to make the declaration. Instead, I required declarations from knowledgeable witnesses, which was appropriate considering the nature of what I required in the February 20 Order, *e.g.*, a description of the document collection and production process, as well as knowledge of OOCL's potential universe of documents. Based on my review of the declarations, I am satisfied that the declarants were sufficiently knowledgeable.

The February 20 Order next required OOCL to describe "the process by which it performed document searches in response to SEA's discovery requests[.]" (February 20 Order, at 2-3). Reading the Carruth and Murdoch Declarations together, I understand as follows about the process by which OOCL performed document searches:

- The Carruth Declaration refers to "Original Data," consisting of 3.5 TB of information. (Carruth Decl., ¶¶ 6, 8). It is unclear from the Carruth Declaration when the "Original Data" was collected, but the Murdoch Declaration indicates that OOCL started collecting data on October 9, 2022, and continued through February 12, 2026. (*See generally* Carruth Decl.; *see also* Murdoch Decl., ¶¶ A.8(a)-(i)). The Murdoch Declaration also provides the date ranges for the data collected. (Murdoch Decl., ¶ A.8). It is unclear whether the "Original Data" encompasses all materials collected from October 9, 2022, through February 12, 2026.
- Both the Carruth and Murdoch Declarations indicate that documents from email systems, IRIS-4, and Sharepoint files were collected. (Carruth Decl., ¶ 6; Murdoch Decl., ¶ A.6). The Carruth Declaration indicates that the Original Data was collected from 23 different custodians, whereas the Murdoch Declaration identifies 22 custodians whose data was collected. (*Compare* Carruth Decl., ¶ 7, *with* Murdoch Decl., ¶¶ A.8(d)&(i)). Further, while the Murdoch Declaration indicates that all email data was collected from sixteen custodians, all documents and communications containing the term "Samsung" were collected from an additional six custodians. (Murdoch Decl., ¶¶ A.8(d)&(i)).
- From the Original Data, OOCL made a total of eight productions from August 25, 2025, through February 19, 2026. (Carruth Decl., ¶¶ 11-12). Although "search terms" were used, the search terms are not in the declarations.³ (Carruth Decl., ¶ 10). Nor is it clear why there were eight different productions from August 25, 2025, through February 19, 2026.
- Both the Carruth and Murdoch Declarations refer to an "additional collection" or "Additional Data." The Carruth Declaration indicates it was about 91 GB of information. (Carruth Decl., ¶ 14; Murdoch Decl., ¶ A.8(j)). The additional material was apparently collected by OOCL and transmitted to the e-discovery vendor sometime between February 20, 2026, and February 23, 2026. (*Id.*). This additional information was apparently collected from all data from six custodians containing the term "Samsung," though some of the custodians appear to be the same as the custodians identified

³ In JSR9, OOCL indicates that the exhibit compares Initial Search Terms with Second Search Terms. It is unclear if Initial Search Terms means the terms OOCL used in making the eight productions from August 25, 2025, through February 19, 2026.

previously. (Murdoch Decl., ¶¶ A.8(i)&(j)). The Murdoch Declaration also provides the date ranges for the additional data collected. (Murdoch Decl., ¶ A.8(j)).

- In February and March 2026, OOCL apparently proposed a list of search terms to SEA, and asked SEA to supplement the list, which SEA did. (JSR9, at 6; *see also* Carruth Decl., ¶ 18). OOCL used that list to search both the Original Data and Additional Data. (Carruth Decl., ¶ 18).
- The search terms OOCL used are apparently attached to JSR9 as an exhibit, as well as the Supplemental Carruth Declaration as an exhibit.
- The Carruth Declaration indicates that an “anomaly” occurred regarding the search of two custodians, as known documents were not retrieved by searches. The Carruth Declaration indicates that there was a problem with the searchable index, that repairs were performed, that searches would be re-performed, and that responsive, non-privileged documents would be produced if found. (Carruth Decl., ¶¶ 15-17).

The February 20 Order specifically required OOCL to provide the following types of information about the document searches it performed: “the date ranges used, the custodians or systems searched, and search terms used[.]” Based on my understanding of OOCL’s searches, which I discuss in the prior set of bullet points, I find as follows:

- **Date Ranges:** The Murdoch Declaration appears to have provided the date ranges for the data OOCL collected. I find that this requirement of the February 20 Order is satisfied. (Murdoch Decl., ¶ A.8).
- **Custodians:** The Murdoch Declaration indicates that OOCL collected data from 22 different custodians, and specifically identifies the custodians. Accordingly, I find that OOCL complied with the February 20 Order to the extent that it requires the identification of custodians. Though I note that the declarations raise questions.
- **Systems:** Both the Carruth and Murdoch Declarations indicate that data from email systems, IRIS-4, and Sharepoint files were collected. (Carruth Decl., ¶ 6; Murdoch Decl., ¶ A.6). Therefore, I find that the February 20 Order is satisfied to the extent it requires identification of the systems searched.
- **Search Terms:** None of the declarations identify the search terms used despite the fact that the February 20 Order specifically required them to be included. Further, the Carruth Declaration states that search terms were used on the “Original Data,” though it is unclear if those search terms are in the record. (Carruth Decl., ¶ 10; *see also* JSR9, at 6 n.1). Nevertheless, I understand from JSR9 and the Supplemental Carruth Declaration that OOCL and SEA jointly-developed a list of search terms, which is provided as an exhibit to JSR9, as well as an exhibit to the Supplemental Carruth Declaration, and which was run against the 3.5 TB of Original Data and the 91 GB of Additional Data. (*See* JSR9; *see also* Supp. Carruth Decl., ¶ 18 and Ex. B). Although it would have been better had OOCL complied with the terms of the February 20 Order and included the search terms in one of the March 13, 2026, declarations, I find that the search terms used on all data collected is in the record, and that this requirement of the February 20 Order is satisfied.

The February 20 Order also required “identification of all other potentially relevant custodians or systems[.]” The February 20 Order specifies that this includes “all persons in, and

systems used by, OOCL’s North American Customer Service, Demurrage and Detention during the January 1, 2020-December 31, 2022, timeframe.” Reviewing the Murdoch Declaration, it identifies two email addresses for demurrage and detention disputes, identifies five employees and a supervisor in the Customer Service, Demurrage and Detention Department in North American, and indicates that all systems this department used, including IRIS-4, Sharepoint, and email servers for the email addresses identified, were searched for documents from January 1, 2020, through December 31, 2022. The Murdoch Declaration indicates that there were no additional systems likely to have responsive documents, and that all systems were searched. (Murdoch Decl., ¶¶ B.1-B.6). It is unclear whether the information identified here was part of the Original Data, Additional Data, or both, or another tranche of data. Regardless, I find that the February 20 Order is satisfied to the extent it required OOCL “identification of all other potentially relevant custodians or systems[.]”

The last requirement of the February 20 Order was for OOCL to identify: “the process by which OOCL charged demurrage, detention and other fees during the January 1, 2020-December 31, 2022, timeframe.” (February 20 Order, at 3). This requirement was added because SEA moved to compel discovery regarding SEA’s Interrogatory No. 16. That interrogatory asked:

Interrogatory No. 16: For each SEA Shipment identified in response to Interrogatory Nos. 1 and 2, for which a Demurrage charge was collected by OOCL, identify: (a) the OOCL Person responsible for determining that SEA was responsible to pay the charge and the reason the OOCL Person determined that SEA was responsible to pay the charge, if any; (b) the basis on which OOCL determined at the time, if any, that assessing such charge on SEA was just and reasonable, and consistent with the FMC’s rules with respect to Demurrage (including the incentive principle); and (c) whether or not circumstances outside of SEA’s control, including but not limited to terminal congestion, unavailability of equipment, delays by motor carriers, or OOCL’s performance, actions, or inactions caused or contributed to any delay in the pick up and delivery of the SEA Shipment to the contracted destination.

(SEA MTC, at App’x-II-23). SEA asserted that OOCL “necessarily maintains records reflecting responsibility determinations, dispute handling, waiver or escalation decisions, and the information it relied upon in deciding to invoice and collect charges[.]” and that OOCL is required to produce that information. (SEA MTC, at App’x-II-23). Because of SEA’s assertion, the February 20 Order required OOCL to describe how demurrage and detention billing are performed.

To that end, Ms. Sha’s Declaration indicates that demurrage and detention are charged pursuant to tariffs or service contract. Prior to 2022, OOCL issued demurrage invoices manually based on the planned pick-up date provided by the customer after the last free day. Beginning in 2022, OOCL used a platform for demurrage charges. As for detention, it appears that the

invoices were either sent by an automated billing system or manual billing system. (Sha Decl., at 2-4). I find, therefore, that this requirement of the February 20 Order is satisfied.⁴

In short, while OOCL did not comply fully with the February 20 Order, I find that it complied substantially with the February 20 Order. For this reason, I will deny the MFS.

Even if I were to find that OOCL did not comply with the February 20 Order fully, default judgment would not be appropriate here. As the D.C. Circuit noted in *MSC*, that case represented the only time that the Commission defaulted a respondent due to discovery failures. (*MSC*, 141 F.4th at 241). The appellate court pointed out that after the carrier made its initial production of documents, the ALJ ordered the carrier to produce additional documents on three separate occasions, and on three separate occasions the carrier did not, raising arguments that the ALJ had already rejected. (*Id.*, at 240-43).

Unlike *MSC*, where the carrier respondent dug in its heels and refused to produce any additional documents after an initial production, OOCL ran several additional searches and produced hundreds of thousands of additional pages of material after I issued my February 20 Order. OOCL also produced three declarations describing its searches and its systems. Thus, this case differs substantially from *MSC*. In light of OOCL's efforts, I find that a default judgment would be inappropriate even if I found that OOCL did not substantially comply with the February 20 Order.

Finally, SEA asks "in the alternative," for an order "compelling OOCL to supplement its declarations with verifications and complete its document production as required by the Commission's Rules[.]" (MFS, at 10). As noted above, the declarations were sworn to by knowledgeable witnesses, which is all that is required by the February 20 Order. As for SEA's request that I compel OOCL to complete its document productions, while OOCL's declarations raise several questions regarding its productions (*see infra*, at 8-9), SEA has not sufficiently developed its argument for an order compelling discovery to allow me to enter an order. It is unclear what "document production" SEA wants compelled. Relatedly, as it is unclear what SEA wants compelled, it is unclear that SEA has adequately attempted to resolve the issue with OOCL, which is a prerequisite to a motion to compel. (*See* 46 C.F.R. §§ 502.141(h)(2)), 502.150(a)(2)(i); 502.150(b)).

⁴ The February 20 Order did not "clearly require[] OOCL to specify the process by which it charges SEA demurrage[.]" (MFS, at 8 (emphasis in original)). Nor did the February 20 Order require OOCL to provide "the basis for OOCL's imposition of the specific demurrage charges at issue[.]" (JSR9, at 2). Instead, in light of some of the discovery issues that have arisen, I required OOCL to provide these declarations to inform both SEA and me as to the potential universe of OOCL's data, the searches OOCL performed, and OOCL's fee-charging process. Now that this information has been provided by the declarations, SEA and OOCL can dialogue constructively regarding where discovery is still needed. For example, now that the Sha Declaration gave the process for how demurrage and detention are charged, SEA can follow up and, if necessary, "make future motions to compel" (February 20 Order, at 3) – though I encourage the parties to continue to resolve discovery issues between themselves.

IV. CONCLUSION

For the reasons discussed, it is **ORDERED** that the SEA's MFS is **DENIED**.

SO ORDERED

Richard C. Ambrow Jr -S

Richard Ambrow
Administrative Law Judge